AIM Partners

Equity Research
2025.10.31

UnitedHealth Group Incorporated

(NYSE: UNH)

"Leading the structural change"

Buy

At close: Oct. 31:
341.56

Trading Info:

52 W High	630.73
52 W Low	234.60
Shares Outstanding (M)	905.84
Market Cap (B)	309.39
Avg. Volume (K)	13,315

General Info:

Company Name	UNH
Year Founded	1977
Domicile	United States
Headquarters	Minneapolis
Sector	Healthcare
Primary Industry	Other Health Services
Credit Rating	N/A

Investment Thesis

Structural advantage from vertical integration

- The vertical integration, anchored by Optum Insight, Rx, and Health, creates a durable moat that combines insurance scale with data and analytics.
- This structure allows UNH of tighter control over cost trends, differentiating UNH from its peers in traditional managed care market.

Operational efficiency through Data and AI

- The company's investment in AI and predictive analytics reinforce cost forecasting, claims automation, and compliance under the CMS V28 model, while setting the foundation for long-term margin resilience.

Attractive Valuation with proven financial discipline

- Following the 2025 price dip, UNH trades at a discount to its peers and its 5-yr average on P/E, P/S, EV/EBITDA metrics, despite the double-digit revenue growth as the industry leader.

Catalyst

Expansion of Optum's high-margin business lines

- Continued growth across Optum's care delivery platforms, pharmacy benefits, and analytics will increase the recurring, service-based revenues and constrain the overall cost ratios: MCR, and OCR.

Adapting to the medical cost trends and 2026 MA bid cycle

- Medical Utilization is stabilizing following the unexpected spike in late 2024 and early 2025; cost trend normalization along with improved pricing strategy in the MA bids should relieve the existing margin pressure.

Re-rating potential rise as investor confidence returns

- The stock price has already rebounded more than 45% form its 52-weeks low, reflecting improving sentiment and positive outlook for UNH.
- As UNH successfully executes on its guidance, restore margins, and provide cost visibility for investors, valuation re-rating towards its own historical average or to its peers is likely.

Revenue per Segment (Millions)	FY 20	FY21	FY22	FY23	FY24
UnitedHealthcare	200,875	222,899	249,741	281,360	298,208
% of Total	59.6%	58.9%	57.7%	55.4%	54.1%
Optum	136,308	155,565	182,768	226,635	252,957
% of Total	40.4%	41.1%	42.3%	44.6%	45.9%
Total	337,183	378,464	432,509	507,995	551,165

Research Team

1. Industry Outlook

Healthcare has long been considered a defensive sector, supported by stable demand across diverse demographics and with low sensitivity to economic cycles. However, the industry is currently undergoing the structural shifts caused by tighter regulations, rising costs, and demographic transitions. These factors often tightens margins and forces healthcare providers and payers to adapt their businesses.

1.1 Policy & Regulations:

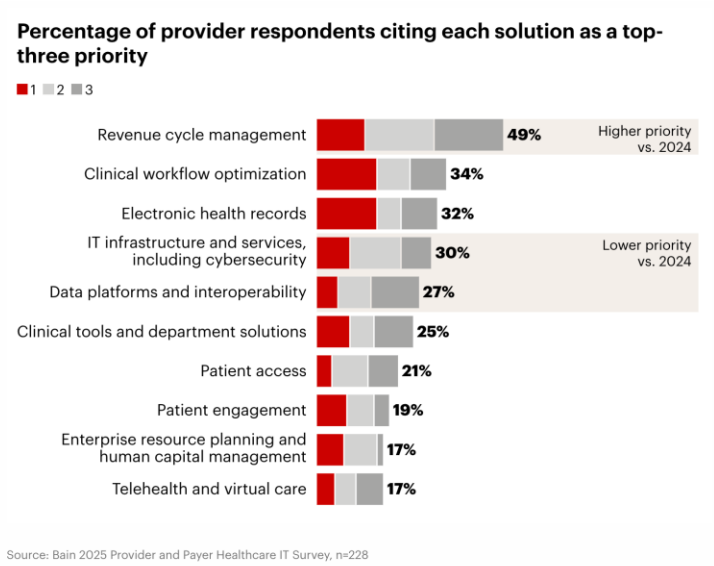
The changing landscape of regulation is led by CMS as it continues to reform the structure of Medicare Advantage (MA) and Medicaid. One of the most notable reforms is the Part C Risk Adjustment Model update, which is expected to have full implementation in 2026 and bases its payments on the 2024 CMS-HCC frameworks. These reforms are originally aimed to improve the payment accuracy.

However, Medicare providers and insurers experience administrative complexity and increase in compliance costs due these updates, forcing them to change their previous operational structures and financial assumptions to adapt to abrupt change in structure. In addition, federal scrutiny regarding MA plan marketing and broker incentives have recently intensified, pressuring businesses with growth and margins.

1.2 Cost Trends

In conjunction with tighter regulations, rising medical costs is a prevalent feature in the current healthcare economy. The cost trend remains elevated, currently estimated at approximately 7.5% for the individual market and 8.5% for the group market, according to PwC Research. The trend is likely caused by various factors including higher utilization rates, drug spending, and inflation in hospital and equipment costs. Now with expected cuts in federal funding for Medicaid and the aftermath of the Affordable Care Act (ACA), millions will be left uninsured by 2026, causing chain-reaction that increases financial burden for private payers and providers. To transfer these rising costs, companies would either have to limit benefit coverage or raise premiums to their existing services, both of which could discourage customer retention.

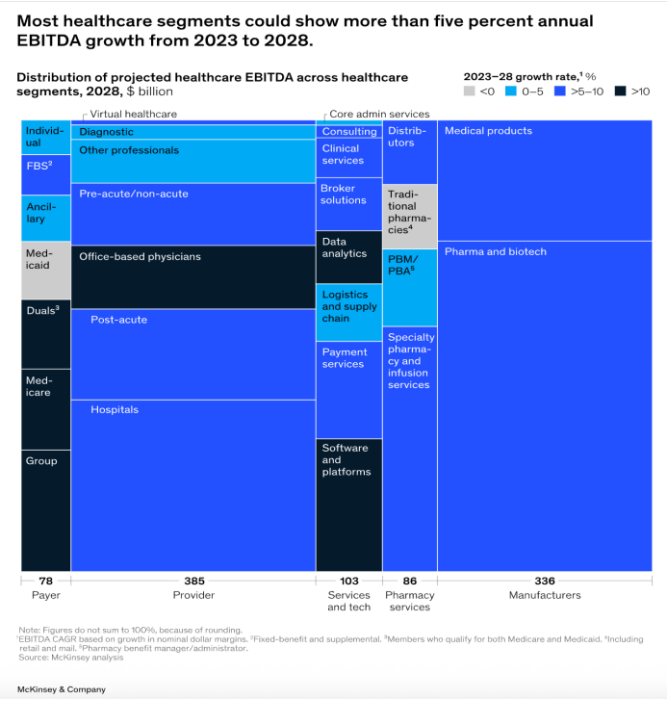
Exhibit 1-1



1.3 Medicare Advantage: Slower Growth Amid Uncertainty

Historically, Medicare Advantage has been one of the fastest-growing and stable healthcare markets; however, the outlook is mixed. According to McKinley, the enrollment growth for MA has slowed its rate to 3.9% YoY growth in 2025, down from approximately 7% in 2024. The leading cause is the funding costs that cause companies to be selective in providing allowances for the coverage. Also, customers have shown a rising tendency in seeking for alternatives, with young seniors of ages 65 to 74 having a churn rate of 11 to 15%. Though total MA spending was projected to double from $1.05T in 2023 to $2.1T by 2033, near-term risk remains high.

Exhibit 1-2. EBITDA Growth from 2023-2028



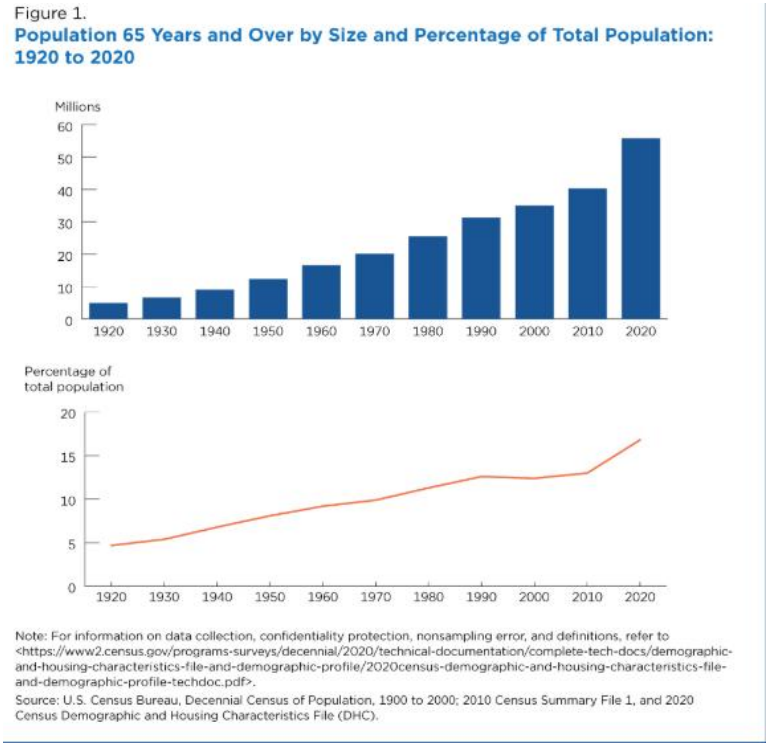
1.4 HST: The Growth Engine of the Sector

In contrast to the negative outlook of the payer landscape, Healthcare Services & Technology, known as HST, have shown a rapid growth within the sector. From 2019 to 2024, HST companies expanded EBITA margins from 16% to 19% along with the increased adoption of data analytics, automation, and various AI tools that aid firms in optimizing operational efficiency.

According to McKinsey Research, the comprehensive revenue pool of HST has a projected growth rate of 8% CAGR through 2028, mainly fueled by double-digit growth in software platforms and analytics solutions. Generative AI is accelerating the growth rate, enhancing productivity through automated coding, clinical documentation, and prior authorization workflows, which reduce claim denials and administrative costs.

Further, the global healthcare analytics market, valued at around $55B in 2024, is projected to exceed the value of $370B by 2033 (Straits Research), reflecting the high expectancy and demand for data-driven workflows within the healthcare sector. Comparably, the healthcare software market is forecasted to reach $104B by 2030 from $41B in 2021, reflecting 10.9% CAGR, according to Acumen Research.

Exhibit 1-3. Historical Growth of Aging Population



1.5 Long-term Outlook

While short-term risks remain challenging, marked by regulatory tightening and rising cost trends, it's a natural phase within the industry to adapt to the new structure and develop firm-specific moats and the long-term fundamentals of healthcare remains strong.

The demographic factors are inevitable with the share of the US population aged 65 or older rising from 12.4% in 2004 to 18% in 2024 (U.S. Census). These demographics will sustain the long-term demand for medical services and healthcare in general.

Throughout the next 5 -10 years, companies with data infrastructure, and comparative advantage in AI-driven analytics coupled with efficient cost management will eventually emerge as the winners in this new healthcare ecosystem. Thus, the sector still remains compelling for long term investments, especially with those that have strong analytics platforms and evolving tech-enabled service models, which are expected to improve inefficiencies and support the growth of demand.

2. Company Overview

2.1 General Information

UnitedHealth Group Incorporated, UNH, founded in 1977 and headquartered in Minneapolis, MN, is a leading private health insurers that provides medical benefits to approximately 51 million members globally: Latin America, Europe, and Asia. The company employs around 400,000 individuals and offers a range of healthcare services through its Optum franchises, which include pharmaceutical benefits and outpatient care.

2.2 Business Model and Services

UNH's business model is comprehensive, providing health insurance, prescription insurance plan management services, and provision of computer services to its customers and members. Its products and services include:

- **Health Insurance:**
  - Employer & Individual plan
  - Medicare & Retirement; provide Medicare Advantage, Medicare Supplement, and prescription drug plans to customers seeking for integrated care solutions.
  - Medicaid; partnership with the state government to deliver healthcare services for low-income populations, and special-needs populations, allowing access to affordable medical services.
  - Global Health; mostly South America.
- **Optum Health:** Delivers direct healthcare services, including primary care, wellness programs, and chronic disease management
- **Optum Rx:** As a leading Pharmacy Benefit Manager (PBM), Optum Rx provides pharmacy care services, manages prescription drug spending, and operates specialty pharmacy programs.
- **Optum Insight:** The segment focuses on data analytics, consulting, and the integration of technology solutions such as payment systems, performance optimization, and healthcare transaction management.
- **Financial services:** supports health savings accounts (HSA), medical payment solutions, claims processing, etc.

By maintaining the diversified portfolio, UnitedHealth Group effectively captures a leading share in the healthcare market while ensuring resilience under various regulatory cycles.

2.3 Recent Headwinds (2025)

However, in early 2025, UNH was faced with unexpected headwinds. Higher-than expected medical utilization in its MA plans, especially among seniors with high risk, driving up costs at Optum Health. CMS reimbursement rates for 2025 increased 3.7%, below the expectation, which resulted in lower revenue per member while the related expenses surged. As a result, the company's medical cost ratio (MCR), a measure that shows how efficiently an insurer covers premiums into actual profits, rose to the mid 80% range, squeezing the insurance margins.

Also, in Q1 earnings release, UNH reported EPS of $7.20 to $7.29 expected, and cut the full year guidance to $26-26.5 range from $29.5-30, sending share price down more than 20%. Combined with policy changes such as the Medicare Part D redesign and tighter reimbursement conditions, the outlook for the remainder of 2025 was more cautious.

2.4 Strategic Response

With short term risks persisting, UnitedHealth's long-term outlook remains compelling as the company is actively adapting to the overall structural shift in the industry and has strong competitive moats compared to peers.

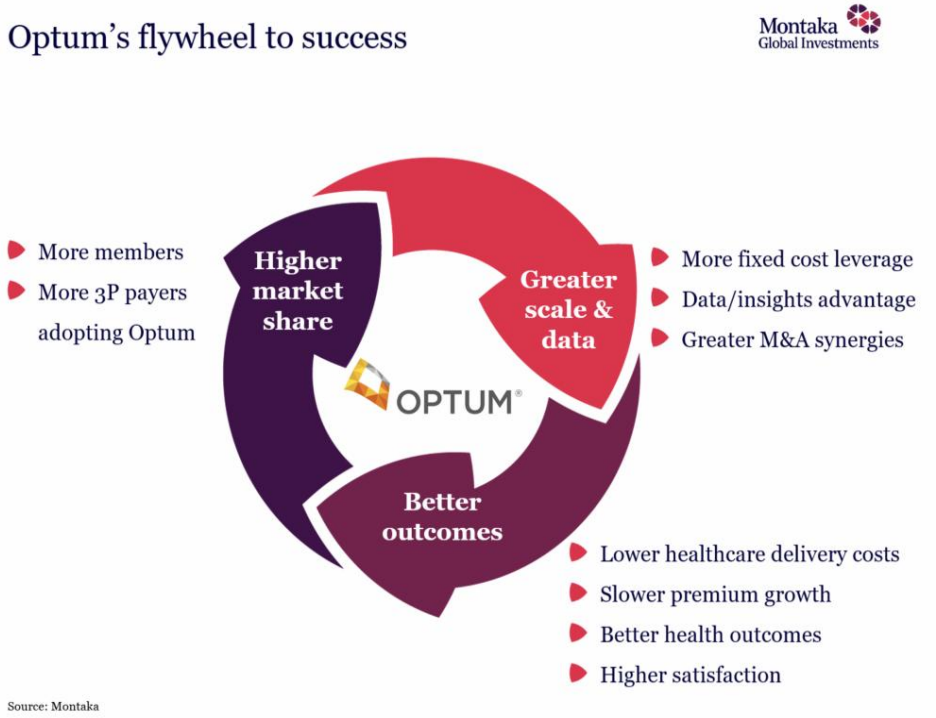
UNH remains the leading player in the U.S. healthcare services and managed care industry due to its two core businesses: UnitedHealthcare (UHC) and Optum. While UHC is the company's cash cow and is set to produce approximately $344–$345.5 billion for 2025, it has lately faced operating pressure due to increasing medical cost trends.

Operating income of UHC fell to $2.1 billion during Q2 2025 compared to $4.0 billion in the prior year, and operating margins fell to around 2.4%. A lot of this is due to a misalignment between medical cost trends and pricing because UHC's Medicare Advantage (MA) medical cost trend for 2025 is around 7.5%, which exceeds its expected pricing of 5%.

To reverse these headwinds, UnitedHealth has begun retooling its strategy. The company is deliberately taking a step back from certain MA designs and county presence as it dials down its focus on rapid growth in value-based care (VBC) membership. Alongside, the management is prioritizing tighter execution and performance in existing cohorts. Optum Health, for instance, reduced its 2025 goal for new fully accountable VBC participants from 650K to 300K, signaling a transition from rapid growth towards depth and quality of its provided services. Despite the deceleration in growth, Optum Health remains on track to care for about five million fully accountable VBC patients by 2025, reflecting the company's continued commitment to value-based care as an important element of its long-term strategy.

Amid these issues in the insurance business, Optum remains the structural growth driver of UnitedHealth. Optum Insight, in particular, is the data and analytics platform that supports UNH to grow with shifting industry trends. In Q2 2025, Optum Insight recorded revenues of $4.8 billion, up 6% year-over-year, and recorded a record contract revenue backlog of $32.1 billion. The growth demonstrates the scalability of its analytics platform driving predictive care management and risk-adjustment modeling. Optum's technology competencies are particularly valuable under the new CMS V28 model for risk, which has shaken traditional MA economics by limiting coding intensity allowances and recasting reimbursement formulas.

Exhibit 2-1. The Optum Cycle



While the CMS V28 model has pinched the whole industry by squeezing MA profit margins, UnitedHealth's predictive analytics and AI-based risk capture capabilities within Optum provide a much-needed counterbalance. These solutions allow UNH to better match reimbursement with patient risk profiles as experienced, mitigating the profitability pinch. UHC's analytics platform also facilitates care delivery and cost management in streamlined fashion, and this boosts UHC's medium-term margin recovery potential. UnitedHealth's repeated focus on cost containment—targeting a reduction in its operating cost ratio of around 12.75% by 2025, and de-emphasis of risky contractual engagements also help underpin the long-term value story.

2-5 Valuations & Growth Outlook

Despite near-term headwinds, UNH's valuation appears decoupled from its down-the-line growth potential. Earnings reset and margin squeeze by the company have resulted in the reduction in multiples, with the stock trading at a discount to sector median on both P/E and EV/EBITDA valuation metrics. Historically, UnitedHealth enjoyed a valuation premium relative to its peers due to diversification and earnings power stability. Current market pricing, however, is driven by short-term cost and regulatory pressures rather than structural change within the Optum business. As Optum's contribution to total earnings increases, driven by high-margin analytics, AI-based integration, and value-based services—UNH's business mix will increasingly migrate toward technology-enabled healthcare solutions rather than traditional insurance underwriting.

In the future, margin squeeze is expected to persist until 2025 as increasing medical costs, intensity of utilization, and Medicare reimbursement adjustments continue to weigh on UHC. The firm's guidance projects operating margins in UHC at 2.6–2.7% for the year. However, Optum—namely its Insight and Rx businesses—will remain the key drivers of growth, with continued backlog expansion and scalability of analytics solutions. Recovery in the near term relies on three key levers: improved risk capture through analytics; tighter cost discipline via AI-driven predictive care; and continued evolution of value-based care models.

In the medium term, 2026-2027, UnitedHealth's margin recovery potential is very much enhanced if Optum Insight continues to scale strongly. Greater leverage of data, advanced care management, and higher value-based integration are expected to compress bases of costs and normalize pricing trends in UHC. Therefore, the company's combined margins should be better in the long run, fueled by an improved mix migration to superior-margin service lines. As Optum's share of total operating profit grows, UnitedHealth is effectively transitioning from a positioning of a traditional insurer to a data-driven, vertically integrated healthcare technology firm.

Briefly, UnitedHealth's near-term struggles hide a structurally improved long-term outlook. The company's analytics capabilities, embedded in Optum, address the cost and risk-adjustment pressures confronting the industry firsthand today. As these capabilities move up scale, they will enable a sustained recovery in margins and earnings growth. The current undervaluation therefore provides investors with an opportunity to gain from probable upside as the market starts to re-price UnitedHealth's evolving business model over time and recognizes the transformational potential of Optum's data and AI architecture in driving future profitability.

3. Financials and Valuations

3.1 Q3 Results

UnitedHealth has demonstrated a strong fundamental resilience in its financial performance despite the temporary shocks in early 2025. However, the company's Q3 results, released on 28th Oct, showed stability and growth in its core businesses, supported by revenue growth and optimized cost control. UNH reported a 12% YoY increase in its top line revenue, reaching $113.2B. Management also raised its full year earning guidance to at least $14.9 per share, signaling a recovery momentum and positive outlook.

Segment performance from Q3 results also showed a balanced growth between UnitedHealthcare (UHC) and Optum business. UHC recorded $87.1B in revenue, 16% growth YoY, driven by enrollment growth along with pricing adjustments against the cost trends. Optum, on the other hand, generated $69.2B in revenue, 8% growth YoY, with the majority of growth driven by the expansion of Optum Rx. These proven figures support the stability of UNH through expansion of scale and diversification, despite the macro trends and regulatory headwinds.

On the cost management, the operation is consistent with management expectation and is manageable with medical cost ratio (MCR) of 89.9% and operating cost ratio (OCR) of 13.5%, 0.2% increase YoY. These ratios suggest that while near-term pressure on profitability still remains due to elevated costs and increase in MA population, the cost structure is aligned with disciplined management of UNH, with gradual normalization projected throughout 2026.

	UNH	Sector Median	% Diff. to Sector	UNH 5Y Avg	%Diff. to 5Y Avg
Gross Profit margin (TTM)	19.70%	59.38%	-66.82%	24.08%	-18.19%
EBIT margin (TTM)	6.06%	4.63%	30.89%	8.41%	-27.94%
EBITDA margin (TTM)	6.72%	9.27%	-27.51%	9.20%	-26.96%
Net Profit margin (TTM)	4.04%	-0.10%	NM	5.47%	-26.14%

	UNH	Sector Median	% Diff. to Sector	UNH 5Y Avg	%Diff. to 5Y Avg
P/E Non-GAAP (TTM)	16.41	17.33	-5.31%	21.34	-23.10%
P/E Non-GAAP (NTM)	21.17	18.41	14.99%	20.49	3.32%
Price/Sales (TTM)	0.72	3.75	-80.80%	1.33	-45.86%
Price/Sales (NTM)	0.70	4.18	-83.25%	1.25	-44.00%
Dividend Yield (TTM)	2.50%	1.68%	48.81%	1.48%	68.92%

Source: Seeking Alpha

3.2 Valuation Statistics

The valuation metrics provide another layer of support to the long-term investment view. Based on Seeking Alpha data, UNH currently trades at a price-to-earnings of 16.4, around 5% discount to the sector median of 17.3 and more than 20% below its own 5-year average of 21.3, primarily due to a significant dip in its share price in early 2025 and April. However, its share price has been gradually recovering since August, resulting in NTM P/E ratio 21.17 and signaling a positive outlook for its share price. Similarly, UNH's price-to-sales ratio is currently at 0.72, which is more than 45% discount to its 5-year average, indicating substantial multiple compression relative to its peer groups, even with strong growth in revenue.

	Sep-25	FY24
ROIC (TTM)	11.82%	10.48%
WACC	6.04%	5.08%
ROE	19.43%	16.86%

Source: Pitchbook

3.3 Shareholder Value

These metrics reflect short-term caution for UNH rather than a significant deterioration in its fundamental values. UNH not only diversified its earning base but also generated strong return profiles. According to Pitchbook data as of Q3, UNH's ROIC on TTM basis is 11.82%, which is above its WACC of 6.04%, proving its capital efficiency and its ability to create shareholder value. Its ROE also reflected a growth from 16.86% in FY24 to 19.43% as of Q3 2025. The Q3 results reaffirm that revenue growth, cash generation, cost trends are manageable, while Optum's expansion in analytics, AI/ML, PBM services, and risk management infrastructure offers UNH with a robust growth prospective.

4. Risks

UnitedHealth continues to face near-term challenges, particularly within its insurance business. The firm's UHC division experienced increasing earnings pressure as medical cost trends outpace pricing assumptions.

In Q2 2025, UHC's EBIT declined to $2.1B from $4B in 2024, compressing margins to 2.4%. The MA cost trend, projected at 7.5% exceeded the 5% pricing growth that was built into premiums, which further added pressures to the margin.

Further, the CMS V28 risk-adjustment model has reduced reimbursement per member and increased the burden of compliance for UNH, forcing them to selectively under-weigh from low-performing MA counties and reduction of its Value Based Care (VBC) eligible member from 650K to 300K indicates management's cautious stance amid volatility.

Regulatory scrutiny has also intensified, including a Department of Justice (DOJ) inquiry into Medicare billing practices, which could weigh on investor sentiment. These pressures, combined with rising acute-care costs and increased Medicare plan churn, underscore the cyclical and policy-sensitive nature of UNH's insurance business.

3. Final Recommendations

Despite the constrained near-term operating outlooks, UnitedHealth's long-term outlook remains compelling with indisputable strength in its fundamentals. The company's scale, technological integration, and data capabilities provide a durable competitive advantage in a consolidating industry. As Optum's contribution to operating earnings rises, UNH's business mix will increasingly favor recurring, service-driven revenues with higher margins and lower regulatory exposure. The integration of AI into claims management, fraud detection, and risk-adjustment analytics is improving cost control and transparency—turning a short-term defensive strategy into a long-term differentiator. Further, the volatility in share price in early 2025, triggered by investors' overreaction to short-term shocks, has created an attractive entry point for investors. UNH's execution in its own recovery plan has been successfully restoring investor confidence. In our view, the combination of solid fundamentals, conservative guidance, and visible long-term catalysts justifies a positive investment stance. For investors who are able to look beyond current noise, UNH represents a leading company in the industry that is effectively shifting from traditional healthcare providers to a technology-enabled healthcare leader.

Appendix 1-1

Income Statement						
For the Fiscal Period Ending	**12 months Dec-31-2020**	**12 months Dec-31-2021**	**12 months Dec-31-2022**	**12 months Dec-31-2023**	**12 months Dec-31-2024**	**LTM 12 months Sep-30-2025**
Currency	***USD***	***USD***	***USD***	***USD***	***USD***	***USD***
Premiums and Annuity Rev.	201,478.0	226,233.0	257,157.0	290,827.0	308,810.0	339,901.0
Total Interest And Dividend Income	1,502.0	1,484.0	1,819.0	3,813.0	4,492.0	4,114.0
Asset Management Fee	-	-	-	-	-	-
Gain (Loss) on Sale of Invest., Total (Rev)	-	840.0	211.0	276.0	710.0	710.0
Non-Insurance Activities Revenue	34,145.0	34,437.0	37,424.0	42,583.0	50,226.0	53,371.0
Other Revenue	20,016.0	24,603.0	27,551.0	34,123.0	36,040.0	37,063.0
Total Revenue	**257,141.0**	**287,597.0**	**324,162.0**	**371,622.0**	**400,278.0**	**435,159.0**
Policy Benefits	159,396.0	186,911.0	210,842.0	241,894.0	264,185.0	298,989.0
Policy Acq. and Underwriting Costs	-	-	-	-	-	-
Depreciation & Amort.	2,891.0	3,103.0	3,400.0	3,972.0	4,099.0	4,285.0
Amort. of Goodwill and Intangibles	-	-	-	-	-	-
Selling General & Admin Exp., Total	41,704.0	42,579.0	47,782.0	54,628.0	53,013.0	55,089.0
Other Operating Exp.	-	-	-	-	-	-
Non-Insurance Activities Exp.	30,745.0	31,034.0	33,703.0	38,770.0	46,694.0	50,439.0
Total Operating Exp.	**234,736.0**	**263,627.0**	**295,727.0**	**339,264.0**	**367,991.0**	**408,802.0**
Operating Income	**22,405.0**	**23,970.0**	**28,435.0**	**32,358.0**	**32,287.0**	**26,357.0**
Interest Expense, Total	(1,663.0)	(1,660.0)	(2,092.0)	(3,246.0)	(3,906.0)	(4,031.0)
EBT Excl. Unusual Items	**20,742.0**	**22,310.0**	**26,343.0**	**29,112.0**	**28,381.0**	**22,326.0**
Impairment of Goodwill	-	-	-	-	-	-
Gain (Loss) On Sale Of Assets	-	-	-	-	(8,310.0)	(118.0)
Other Unusual Items	-	-	-	-	-	-
EBT Incl. Unusual Items	**20,742.0**	**22,310.0**	**26,343.0**	**29,112.0**	**20,071.0**	**22,208.0**
Income Tax Expense	4,973.0	4,578.0	5,704.0	5,968.0	4,829.0	3,835.0
Earnings from Cont. Ops.	**15,769.0**	**17,732.0**	**20,639.0**	**23,144.0**	**15,242.0**	**18,373.0**
Earnings of Discontinued Ops.	-	-	-	-	-	-
Extraord. Item & Account. Change	-	-	-	-	-	-
Net Income to Company	**15,769.0**	**17,732.0**	**20,639.0**	**23,144.0**	**15,242.0**	**18,373.0**
Minority Int. in Earnings	(366.0)	(447.0)	(519.0)	(763.0)	(837.0)	(784.0)
Net Income	**15,403.0**	**17,285.0**	**20,120.0**	**22,381.0**	**14,405.0**	**17,589.0**
Pref. Dividends and Other Adj.	-	-	-	-	-	-
NI to Common Incl Extra Items	**15,403.0**	**17,285.0**	**20,120.0**	**22,381.0**	**14,405.0**	**17,589.0**
NI to Common Excl. Extra Items	**15,403.0**	**17,285.0**	**20,120.0**	**22,381.0**	**14,405.0**	**17,589.0**
Per Share Items						
Basic EPS	$16.23	$18.33	$21.47	$24.12	$15.64	$19.32
Basic EPS Excl. Extra Items	16.23	18.33	21.47	24.12	15.64	19.32
Weighted Avg. Basic Shares Out.	949.0	943.0	937.0	928.0	921.0	910.5
Diluted EPS	$16.03	$18.08	$21.18	$23.86	$15.51	$19.22
Diluted EPS Excl. Extra Items	16.03	18.08	21.18	23.86	15.51	19.22
Weighted Avg. Diluted Shares Out.	961.0	956.0	950.0	938.0	929.0	915.5
Normalized Basic EPS	$13.27	$14.31	$17.02	$18.78	$18.35	$14.46
Normalized Diluted EPS	13.11	14.12	16.78	18.58	18.19	14.39
Dividends per Share	$4.83	$5.6	$6.4	$7.29	$8.18	$8.62
Payout Ratio %	29.8%	30.5%	29.8%	30.2%	52.3%	44.6%
Shares per Depository Receipt	0.014	0.014	0.014	0.014	0.014	0.014
Supplemental Items						
EBITDA	24,496.0	26,173.0	30,835.0	35,130.0	34,986.0	29,242.0
EBITA	23,505.0	25,170.0	29,735.0	33,958.0	33,987.0	28,057.0
EBIT	22,405.0	23,970.0	28,435.0	32,358.0	32,287.0	26,357.0
EBITDAR	25,596.0	27,373.0	32,135.0	36,530.0	36,386.0	NA
As Reported Total Revenue*	257,141.0	287,597.0	324,162.0	371,622.0	400,278.0	435,159.0
Effective Tax Rate %	24.0%	20.5%	21.7%	20.5%	24.1%	17.3%
Current Domestic Taxes	4,490.0	3,932.0	5,697.0	5,134.0	3,869.0	3,869.0
Current Foreign Taxes	491.0	516.0	680.0	1,079.0	1,256.0	1,256.0
Total Current Taxes	4,981.0	4,448.0	6,377.0	6,213.0	5,125.0	5,125.0
Total Deferred Taxes	(8.0)	130.0	(673.0)	(245.0)	(296.0)	(296.0)

Source: Capital IQ

Appendix 1-2

Balance Sheet						
Balance Sheet as of:	**Dec-31-2020**	**Dec-31-2021**	**Dec-31-2022**	**Dec-31-2023**	**Dec-31-2024**	**Sep-30-2025**
Currency	***USD***	***USD***	***USD***	***USD***	***USD***	***USD***
ASSETS						
Investment In Debt Securities	-	-	-	-	-	-
Total Other Investments	42,502.0	43,846.0	46,674.0	49,910.0	54,055.0	56,400.0
Total Investments	**42,502.0**	**43,846.0**	**46,674.0**	**49,910.0**	**54,055.0**	**56,400.0**
Cash And Equivalents	16,921.0	21,375.0	23,365.0	25,427.0	25,312.0	27,210.0
Reinsurance Recoverable	-	-	-	-	-	-
Other Receivables	25,404.0	28,082.0	30,450.0	38,970.0	48,454.0	55,434.0
Separate Account Assets	4,076.0	4,449.0	4,087.0	3,755.0	-	-
Gross Property, Plant & Equipment	8,846.0	9,249.0	10,422.0	10,667.0	8,540.0	-
Accumulated Depreciation	(3,364.0)	(3,857.0)	(4,499.0)	(4,210.0)	(3,645.0)	-
Net Property, Plant & Equipment	**5,482.0**	**5,392.0**	**5,923.0**	**6,457.0**	**4,895.0**	**11,104.0**
Goodwill	71,337.0	75,795.0	93,352.0	103,732.0	106,734.0	110,340.0
Other Intangibles	14,000.0	13,621.0	18,606.0	20,187.0	28,926.0	22,785.0
Other Current Assets	4,457.0	5,320.0	6,621.0	6,084.0	8,212.0	9,019.0
Other Long-Term Assets	13,110.0	14,326.0	16,627.0	19,198.0	21,690.0	22,977.0
Total Assets	**197,289.0**	**212,206.0**	**245,705.0**	**273,720.0**	**298,278.0**	**315,269.0**
LIABILITIES						
Accounts Payable	22,495.0	24,643.0	27,715.0	31,958.0	34,337.0	36,033.0
Unpaid Claims	21,872.0	24,483.0	29,056.0	32,395.0	34,224.0	40,181.0
Unearned Premiums	2,842.0	2,571.0	3,075.0	3,355.0	3,317.0	3,366.0
Curr. Port. of LT Debt	3,523.0	3,620.0	2,310.0	3,186.0	3,245.0	4,837.0
Curr. Port. of Leases	-	-	-	-	1,014.0	-
Short-term Borrowings	1,296.0	-	800.0	1,088.0	1,300.0	2,900.0
Long-Term Debt	38,648.0	42,383.0	54,513.0	58,263.0	72,359.0	72,399.0
Long-Term Leases	-	-	-	-	3,875.0	-
Other Current Liabilities	20,392.0	22,975.0	26,281.0	27,072.0	26,332.0	28,209.0
Def. Tax Liability, Non-Curr.	3,367.0	3,265.0	2,769.0	3,021.0	3,620.0	3,162.0
Other Non-Current Liabilities	12,315.0	11,787.0	12,839.0	14,463.0	12,064.0	18,369.0
Total Liabilities	**126,750.0**	**135,727.0**	**159,358.0**	**174,801.0**	**195,687.0**	**209,456.0**
Common Stock	10.0	10.0	9.0	9.0	9.0	9.0
Additional Paid In Capital	-	-	-	-	-	394.0
Retained Earnings	69,295.0	77,134.0	86,156.0	95,774.0	96,036.0	97,595.0
Treasury Stock	-	-	-	-	-	-
Comprehensive Inc. and Other	(3,814.0)	(5,384.0)	(8,393.0)	(7,027.0)	(3,387.0)	(2,211.0)
Total Common Equity	**65,491.0**	**71,760.0**	**77,772.0**	**88,756.0**	**92,658.0**	**95,787.0**
Minority Interest	5,048.0	4,719.0	8,575.0	10,163.0	9,933.0	10,026.0
Total Equity	**70,539.0**	**76,479.0**	**86,347.0**	**98,919.0**	**102,591.0**	**105,813.0**
Total Liabilities And Equity	**197,289.0**	**212,206.0**	**245,705.0**	**273,720.0**	**298,278.0**	**315,269.0**
Supplemental Items						
Total Shares Out. on Filing Date	945.3	940.9	932.8	921.9	914.7	905.8
Total Shares Out. on Balance Sheet Date	946.0	941.0	934.0	924.0	915.0	906.0
Book Value/Share	$69.23	$76.26	$83.27	$96.06	$101.27	$105.73
Tangible Book Value	(19,846.0)	(17,656.0)	(34,186.0)	(35,163.0)	(43,002.0)	(37,338.0)
Tangible Book Value/Share	($20.98)	($18.76)	($36.6)	($38.06)	($47.0)	($41.21)
Total Debt	43,467.0	46,003.0	57,623.0	62,537.0	81,793.0	80,136.0
Net Debt	26,546.0	24,628.0	34,258.0	37,110.0	56,481.0	52,926.0
Debt Equivalent Oper. Leases	8,800.0	9,600.0	10,400.0	11,200.0	11,200.0	NA
Total Minority Interest	5,048.0	4,719.0	8,575.0	10,163.0	9,933.0	10,026.0
Inventory Method	NA	NA	NA	NA	NA	NA
Land	533.0	502.0	697.0	712.0	364.0	NA
Buildings	4,759.0	4,882.0	5,519.0	5,573.0	4,215.0	NA
Machinery	3,554.0	3,865.0	4,206.0	4,382.0	3,961.0	NA
Full Time Employees	330,000	350,000	400,000	440,000	400,000	NA
Filing Date	Feb-24-2023	Feb-28-2024	Feb-27-2025	Feb-27-2025	Feb-27-2025	Oct-28-2025

Source: Capital IQ

Appendix 1-3

Cash Flow						
For the Fiscal Period Ending	**12 months Dec-31-2020**	**12 months Dec-31-2021**	**12 months Dec-31-2022**	**12 months Dec-31-2023**	**12 months Dec-31-2024**	**LTM 12 months Sep-30-2025**
Currency	***USD***	***USD***	***USD***	***USD***	***USD***	***USD***
Net Income	**15,403.0**	**17,285.0**	**20,120.0**	**22,381.0**	**14,405.0**	**17,589.0**
Depreciation & Amort.	991.0	1,003.0	1,100.0	1,172.0	999.0	1,185.0
Amort. of Goodwill and Intangibles	1,100.0	1,200.0	1,300.0	1,600.0	1,700.0	1,700.0
Depreciation & Amort., Total	**2,091.0**	**2,203.0**	**2,400.0**	**2,772.0**	**2,699.0**	**2,885.0**
Other Amortization	800.0	900.0	1,000.0	1,200.0	1,400.0	1,400.0
(Gain) Loss On Sale of Assets	-	-	(588.0)	(489.0)	4,977.0	(3,215.0)
Stock-Based Compensation	679.0	800.0	925.0	1,059.0	1,018.0	982.0
Change in Acc. Receiv.	(688.0)	(1,000.0)	(2,523.0)	(3,114.0)	(1,437.0)	(2,057.0)
Change in Acc. Payable	5,348.0	1,162.0	1,964.0	3,516.0	2,463.0	796.0
Change in Unearned Rev.	278.0	(310.0)	126.0	203.0	(197.0)	40.0
Change in Insur. Reserves/Liab.	152.0	2,701.0	4,053.0	3,482.0	2,503.0	6,446.0
Change in Other Net Operating Assets	(2,195.0)	(1,031.0)	(1,374.0)	(2,444.0)	(4,140.0)	(4,257.0)
Other Operating Activities	306.0	(367.0)	103.0	502.0	513.0	349.0
Cash from Ops.	**22,174.0**	**22,343.0**	**26,206.0**	**29,068.0**	**24,204.0**	**20,958.0**
Capital Expenditures	(2,051.0)	(2,454.0)	(2,802.0)	(3,386.0)	(3,499.0)	(3,586.0)
Sale of Property, Plant and Equipment	221.0	15.0	3,414.0	685.0	2,041.0	2,041.0
Cash Acquisitions	(7,139.0)	(4,821.0)	(21,458.0)	(10,136.0)	(13,408.0)	(6,170.0)
Divestitures	-	-	-	-	-	-
Net Cash from Investments	(2,836.0)	(1,843.0)	(6,837.0)	(1,777.0)	525.0	330.0
Net (Increase)/Decrease in Loans Orig/Sold	-	-	-	-	(4,519.0)	2,739.0
Deferred Charges	-	-	-	-	-	-
Total Other Investing Activities	(727.0)	(1,269.0)	(793.0)	(960.0)	(1,667.0)	(2,547.0)
Cash from Investing	**(12,532.0)**	**(10,372.0)**	**(28,476.0)**	**(15,574.0)**	**(20,527.0)**	**(7,193.0)**
Short Term Debt Issued	872.0	-	732.0	11.0	-	-
Long-Term Debt Issued	4,864.0	6,933.0	14,819.0	6,394.0	17,811.0	-
Total Debt Issued	**5,736.0**	**6,933.0**	**15,551.0**	**6,405.0**	**17,811.0**	**4,438.0**
Short Term Debt Repaid	-	(1,302.0)	-	-	(151.0)	-
Long-Term Debt Repaid	(3,150.0)	(3,150.0)	(3,015.0)	(2,125.0)	(3,000.0)	-
Total Debt Repaid	**(3,150.0)**	**(4,452.0)**	**(3,015.0)**	**(2,125.0)**	**(3,151.0)**	**(2,460.0)**
Issuance of Common Stock	1,440.0	1,355.0	1,253.0	1,353.0	1,846.0	1,038.0
Repurchase of Common Stock	(4,250.0)	(5,000.0)	(7,000.0)	(8,000.0)	(9,000.0)	(10,517.0)
Common Dividends Paid	(4,584.0)	(5,280.0)	(5,991.0)	(6,761.0)	(7,533.0)	(7,846.0)
Total Dividends Paid	**(4,584.0)**	**(5,280.0)**	**(5,991.0)**	**(6,761.0)**	**(7,533.0)**	**(7,846.0)**
Annuity Receipts	-	-	-	-	-	-
Annuity Payments	-	-	-	-	-	-
Special Dividend Paid	-	-	-	-	-	-
Other Financing Activities	1,218.0	(1,011.0)	3,428.0	(2,401.0)	(3,485.0)	(3,608.0)
Cash from Financing	**(3,590.0)**	**(7,455.0)**	**4,226.0**	**(11,529.0)**	**(3,512.0)**	**(18,955.0)**
Foreign Exchange Rate Adj.	(116.0)	(62.0)	34.0	97.0	(61.0)	(6.0)
Misc. Cash Flow Adj.	-	-	-	-	(219.0)	6.0
Net Change in Cash	**5,936.0**	**4,454.0**	**1,990.0**	**2,062.0**	**(115.0)**	**(5,190.0)**
Supplemental Items						
Cash Interest Paid	1,704.0	1,653.0	1,945.0	3,035.0	3,594.0	3,594.0
Cash Taxes Paid	4,935.0	3,966.0	5,222.0	6,078.0	4,620.0	4,620.0
Net Debt Issued	2,586.0	2,481.0	12,536.0	4,280.0	14,660.0	1,978.0
Levered Free Cash Flow	20,023.8	19,250.8	23,759.4	20,855.0	11,574.1	17,768.8
Unlevered Free Cash Flow	21,063.1	20,288.3	25,066.9	22,883.8	14,015.4	20,288.1
Change In Net Working Capital	(5,541.0)	(3,858.0)	(5,772.0)	(1,015.0)	7,782.0	(2,134.0)
Filing Date	Feb-24-2023	Feb-28-2024	Feb-27-2025	Feb-27-2025	Feb-27-2025	Oct-28-2025

Source: Capital IQ